Private student loan approval disclosure

Document section 1 of 5 | Loan ID: TEST-SL-2026-00482

FICTIONAL TEST DOCUMENT - NOT A REAL LOAN OR CREDIT OFFER. All parties, identifiers, institutions and terms are invented for software testing. This packet is not a regulatory form or an assertion of legal compliance.

Borrower / account	Approved loan details
Alex Morgan | alex.morgan@example.com	Lender: Cedar Harbor Education Finance (fictional)
Cosigner: Jordan Morgan	Servicer: Cedar Harbor Loan Servicing (fictional)
School: Northbridge Technical University	Program: B.S. Computer Science; undergraduate
Academic period: Sep 2026 - Aug 2027	Disclosure date: August 20, 2026
Loan type: private education loan	Unsecured; fixed rate; U.S. dollars

Credit cost summary - deferred repayment elected

Disclosure field	Amount / rate
Gross note principal	$25,000.00
Origination fee: 2.00% of gross principal	$500.00 withheld from proceeds
Amount financed / net school disbursement	$24,500.00
Fixed annual interest rate	8.50% before optional discount
Estimated annual percentage rate (APR)	8.727%
Estimated finance charge	$17,438.48
Estimated total of payments	$41,938.48

APR reflects the withheld fee and the payment timing described in section 3. It is an illustrative nominal annualized cash-flow yield, rounded to three decimals. The interest rate and APR are different measures. Estimates exclude optional discounts, late charges, returned-payment fees and future hardship periods.

Disbursement & interest terms

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1. Promise to repay and use of proceeds

The borrower and cosigner each promise to repay the gross note principal of $25,000.00, accrued interest and permitted charges under this fictional agreement. Funds are intended for education costs certified by the school. There is no collateral. The cosigner is jointly responsible for the full unpaid obligation, not merely half.

Disbursement item	Scheduled transaction
Single disbursement date	September 1, 2026
Gross loan principal	$25,000.00
Fee withheld at disbursement	$500.00
Net funds delivered to the school	$24,500.00
Additional scheduled disbursements	None

2. Fixed interest and day-count convention

Interest begins on the disbursement date. The base rate is fixed at 8.50% per year for the life of the loan. This synthetic contract uses a 30/360 convention: every full month is 30 days and every year is 360 days. Monthly interest equals outstanding principal multiplied by the annual rate divided by 12. Partial-month interest uses principal x annual rate x contract days / 360.

During the initial deferment, interest is simple interest on $25,000.00. It does not compound monthly. Unpaid accrued interest is added to principal once, on March 1, 2028. Thereafter, interest accrues on the resulting principal balance. Fees are not capitalized or included in interest-bearing principal.

3. Optional automatic-payment discount

A 0.25 percentage-point rate reduction is available only during active repayment while qualifying automatic bank withdrawals remain enrolled and successful. The qualifying rate would be 8.25%, not 6.375%. Enrollment is not automatic. The discount is **NOT elected** in this packet and is excluded from all figures. It does not apply during school, grace or hardship deferment. When eligibility ends, the rate returns to 8.50%; the servicer recalculates future payments over the remaining term.

4. Acceptance and cancellation in this test scenario

Offer acceptance deadline: August 25, 2026. Assumed acceptance date: August 24, 2026. Contractual cancellation deadline: August 28, 2026 at 11:59 p.m. Eastern Time. Written cancellation received by that deadline cancels the loan and fee before funding. These dates are invented test terms, not a statement of legally required cancellation periods.

Repayment schedule & cost

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5. Initial deferment and grace period

No scheduled payments are due during 12 months of in-school deferment, September 1, 2026 through August 31, 2027, or during the following six-month grace period, September 1, 2027 through February 29, 2028. Interest accrues throughout both periods. Expected program completion is August 31, 2027. The six-month grace period is available once.

Balance calculation	Amount
Original principal	$25,000.00
In-school interest: $25,000 x 8.50% x 12/12	$2,125.00
Grace-period interest: $25,000 x 8.50% x 6/12	$1,062.50
Accrued interest capitalized March 1, 2028	$3,187.50
Principal entering repayment	$28,187.50

6. Scheduled installment payments

Payment term	Schedule
Repayment term	120 monthly installments (10 years)
First due date	April 1, 2028
Regular installment	$349.48; 119 payments, Apr 1, 2028 - Feb 1, 2038
Final installment	$350.36; March 1, 2038
Total scheduled payments	$41,938.48
Interest paid over the full loan life	$16,938.48
Finance charge: interest plus $500 fee	$17,438.48

The payment schedule assumes every payment arrives on its due date, no additional borrowing, no early repayment, no hardship pause and no automatic-payment discount. Calculations retain internal precision; displayed values are rounded to cents. The final installment adjusts for the rounded regular payment. Actual servicing that rounds each monthly accrual may differ by a few cents.

7. Payment allocation and prepayment

Payments apply first to unpaid fees, then accrued interest, then principal. There is **no prepayment penalty**. Extra payments reduce principal after fees and accrued interest are satisfied. They do not automatically replace the next scheduled installment. Unless a revised schedule is agreed in writing, the monthly payment remains due and early principal reduction shortens the payoff period. A payoff quote includes interest through the requested payoff date.

Fees, hardship & default

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8. Fees and charges

Charge	Trigger and amount
Origination fee	$500.00 (2.00%); withheld once at funding. Already included in the cost disclosures.
Late-payment fee	Lesser of 5.00% of the unpaid installment portion or $25.00, once that portion is more than 15 calendar days overdue. One late fee per installment.
Returned-payment fee	$20.00 per returned bank payment. Charged separately from any applicable late fee.
Prepayment / application fees	$0.00 prepayment penalty; $0.00 application fee.
Collection expenses	Actual reasonable documented external collection costs, only to the extent permitted by applicable law; no fixed percentage specified.

Example: if a full regular installment of $349.48 is more than 15 days late, the late fee is $17.47. If only $100.00 remains unpaid, the late fee is $5.00. The 15-day fee threshold is not an interest-free period and does not change the scheduled due date.

9. Temporary hardship forbearance

The borrower may request up to three months per approval, with a maximum of six months over the life of the loan. Approval is discretionary and requires documented hardship. Scheduled installments pause only after written approval. Interest continues to accrue at the base rate and unpaid interest capitalizes at the end of each approved period. No separate forbearance fee is charged. The remaining payment amount is recalculated to preserve the original maturity date; therefore payments can increase. These periods are excluded from the section 3 estimates.

10. Delinquency, default and acceleration

A payment is delinquent when not received by its due date. Under this test contract, a payment remaining unpaid for 90 calendar days constitutes default. Material intentional misrepresentation may also trigger default. After any required notice and opportunity to cure, the lender may demand the unpaid balance immediately and pursue permitted collection remedies. Delinquency or default may be reported to consumer reporting agencies for both borrower and cosigner.

11. No automatic federal-loan benefits

This is a private loan, not a federal student loan. This agreement does not provide federal income-driven repayment, Public Service Loan Forgiveness, or a government interest subsidy. Any hardship relief arises only from the terms above or applicable law. No forgiveness or discharge is promised merely because the borrower does not finish the degree or cannot find employment.

Cosigner & servicing provisions

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12. Cosigner liability and release

Jordan Morgan is liable for the full debt on the same basis as Alex Morgan. The lender need not first exhaust collection against the borrower before requesting payment from the cosigner, subject to applicable law. A cosigner-release review may be requested after 24 consecutive, full, on-time principal-and-interest payments. Release additionally requires completion of the degree, proof of income and an independent credit review. Approval is not guaranteed. Deferment months and partial payments do not count toward the 24-payment requirement.

13. Enrollment changes and withdrawal

The borrower must report graduation, withdrawal or a drop below half-time enrollment within 30 days. If qualifying enrollment ends earlier than the assumed August 31, 2027 date, the six-month grace period begins earlier and the repayment schedule is revised. Additional in-school deferment is not automatic. A school refund sent to the servicer reduces principal when received; the original fee is not refunded after the cancellation deadline.

14. Death, disability and other discharge requests

The lender will review a documented death or permanent-disability request individually. This fictional agreement contains no guaranteed contractual discharge on either event. Applicable legal protections remain controlling. The decoder should not infer an automatic death or disability cancellation from the mere existence of a review process.

15. Servicing, records and disputes

Statements will be delivered electronically to alex.morgan@example.com. The borrower must keep contact information current. A servicing transfer does not change the contractual rate or repayment obligations. Billing disputes should identify the account, disputed amount and reason. A dispute does not itself suspend an otherwise valid payment obligation. No mandatory arbitration clause is included in this sample.

Test-only contact	Details
Servicing portal	https://loans.example.com
Email	support@example.com
Telephone	202-555-0146
Mailing address	100 Example Plaza, Suite TEST, Fictional City, NJ 00000

16. Acknowledgment - unsigned specimen

Borrower acknowledgment: Alex Morgan _____ Date: _____
Cosigner acknowledgment: Jordan Morgan _____ Date: _____
Lender representative: _____ Date: _____

No signatures have been applied. No debt is created by this document. This is a self-contained synthetic extraction fixture. All five sections describe the same loan; conditional benefits are not elections or guarantees.